

Growth remains intact. Efficiency now needs a gate.

\$52.5M

FY2026 Base revenue

\$58.3M

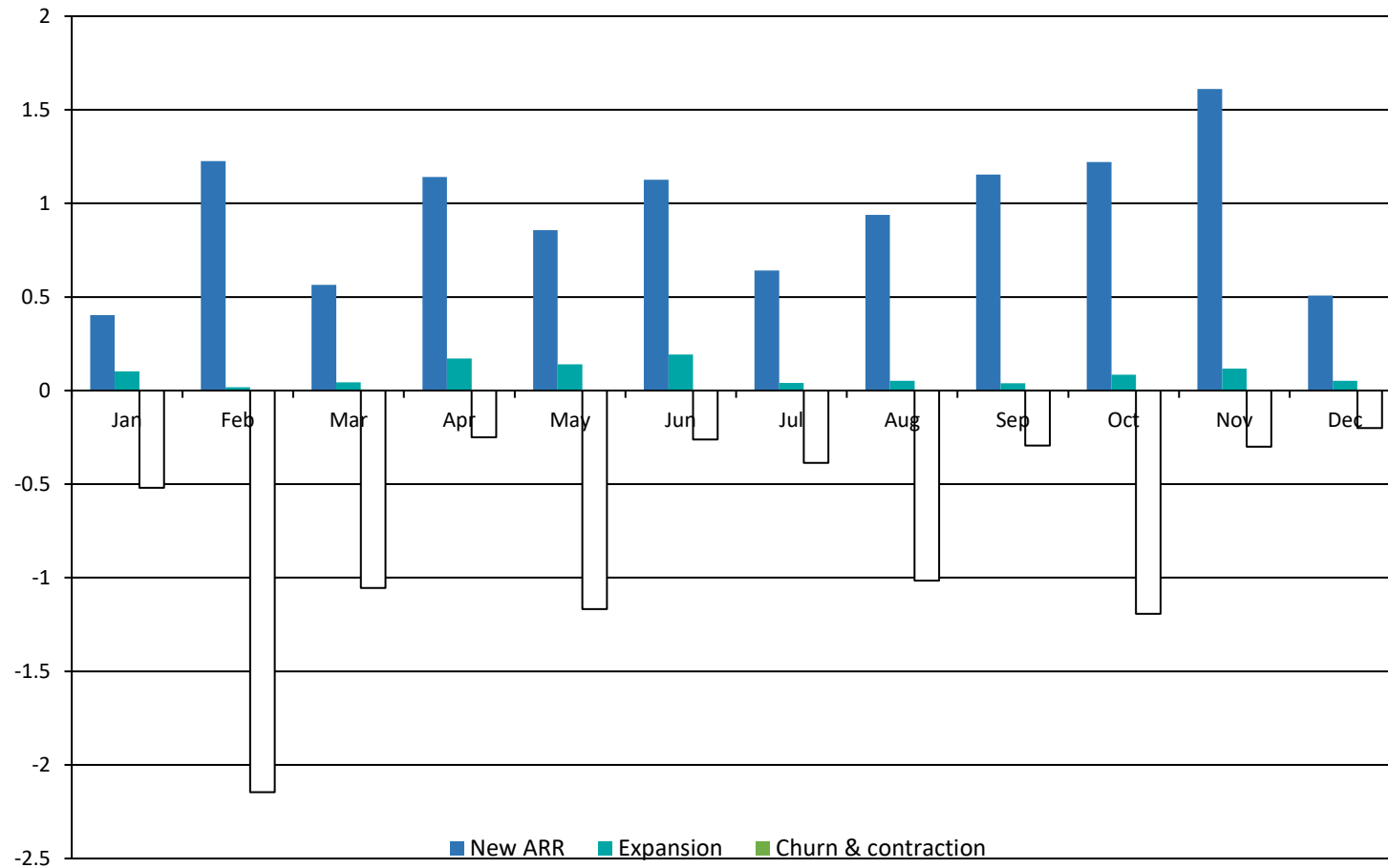
Ending ARR

12.3 months

Ending runway

Q3 revenue missed budget by \$0.4M; Sales and Marketing spend is ahead of plan. Hold incremental GTM hiring until conversion improves.

ARR reaches \$58.3M, but growth depends on pipeline conversion



40.0M opening ARR

The source ledger is calibrated to the stated company scale.

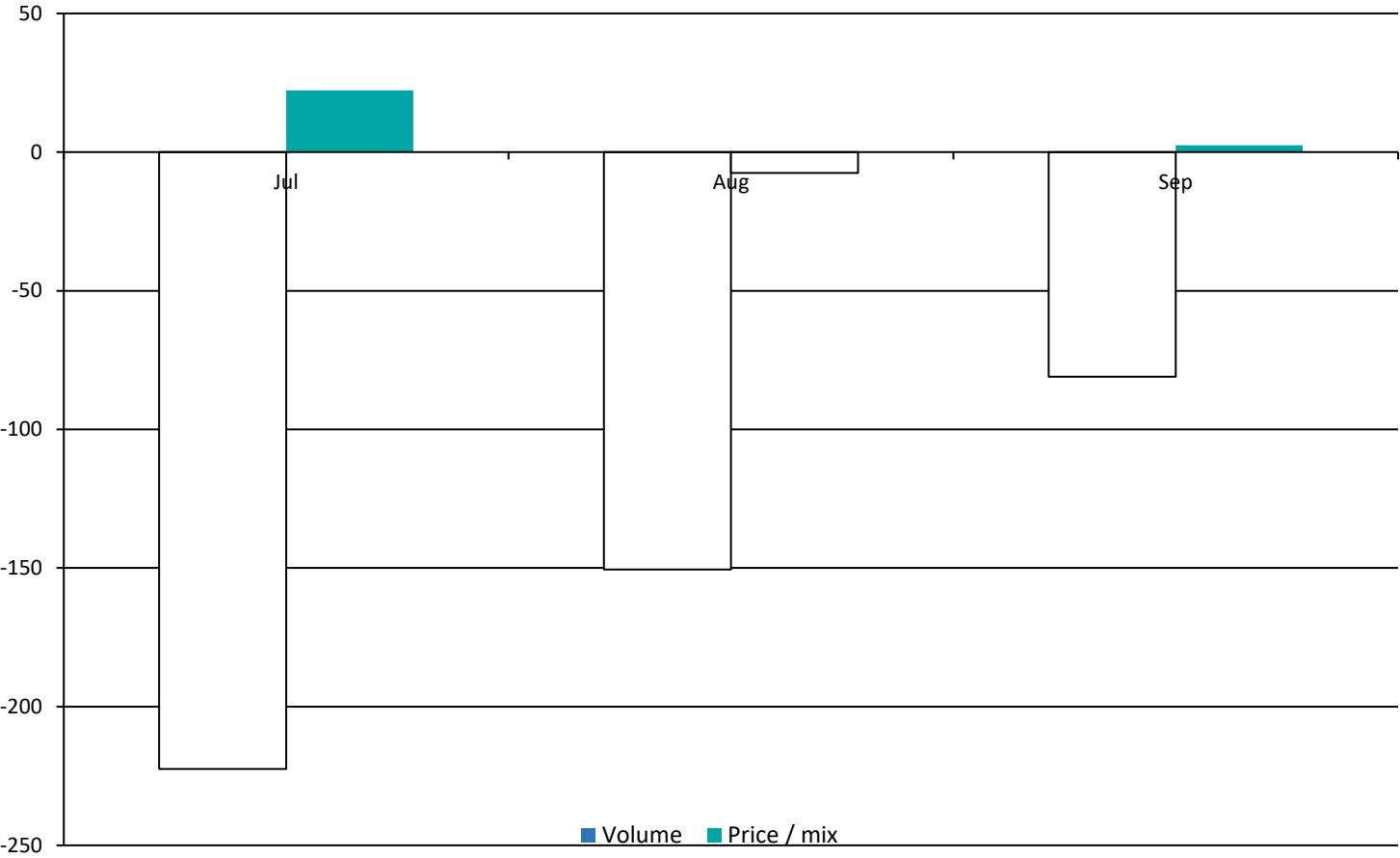
Retention is stable

Dec NRR is 99.7%; expansion broadly offsets churn.

Pipeline is the swing factor

Base realizes 55% of stage-weighted pipeline after probability weighting.

Q3 miss is volume-led; GTM spend has not yet adjusted



\$437K Q3 miss

July and August account for most of the shortfall.

\$871K FY opex overrun

Marketing and Sales lead the unfavorable variance.

Interpretation

Pricing is resilient; close volume and timing remain the issue.

Retention is healthy; efficiency is just below the Rule of 40

99.7%

December NRR

99.6%

December GRR

24.8x

LTV : CAC

38.8%

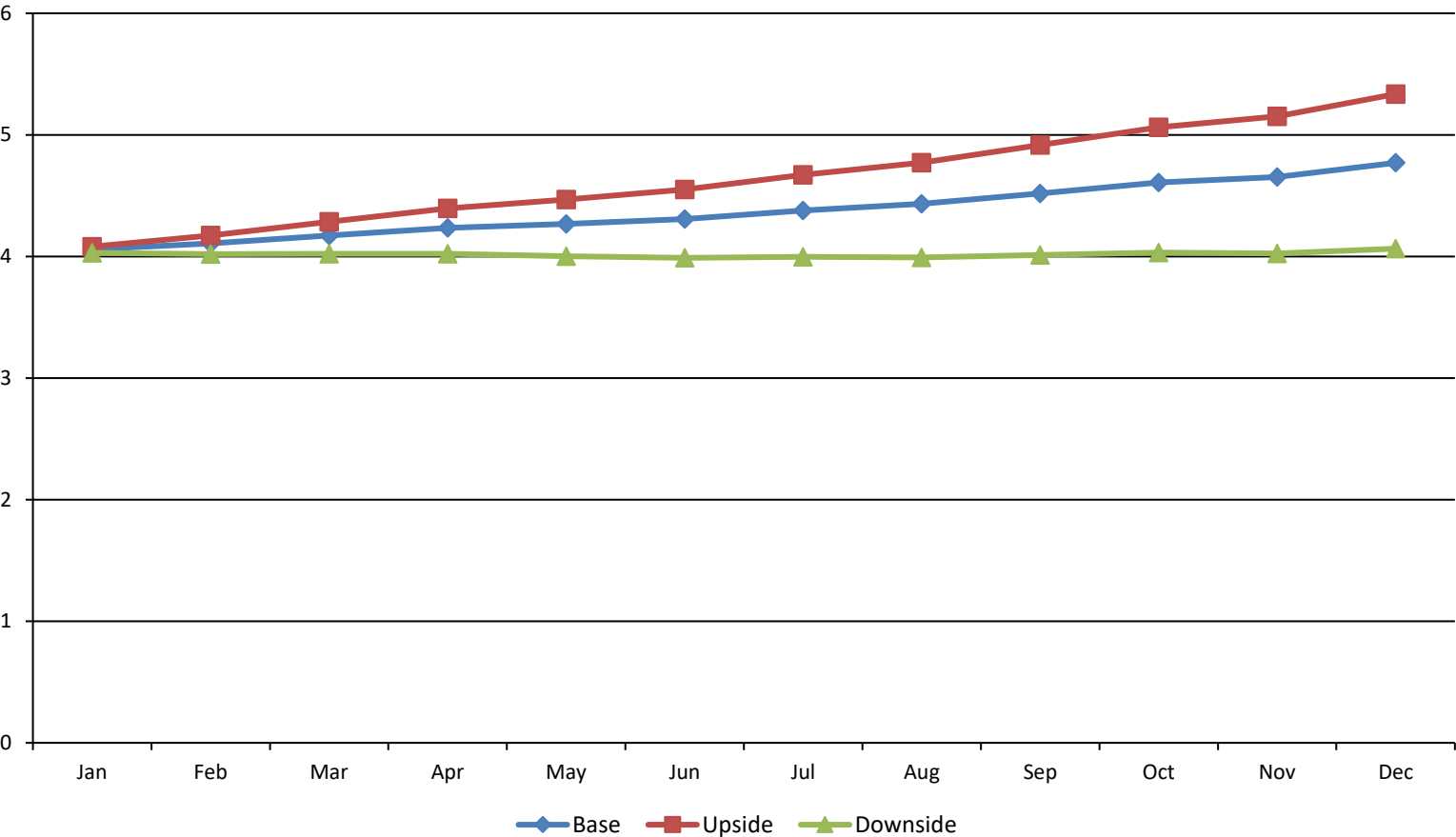
Rule of 40

The model points to a growth-efficiency tradeoff: retention is not the immediate constraint, but the company must improve new-logo conversion before adding GTM capacity.

Management trigger

Release incremental hiring only after two consecutive months of improved conversion and shorter sales cycles.

The FY revenue range is \$48.2M-\$55.9M



Base | \$52.5M

1.1% churn, 0.55x pipeline factor, approved hiring pace.

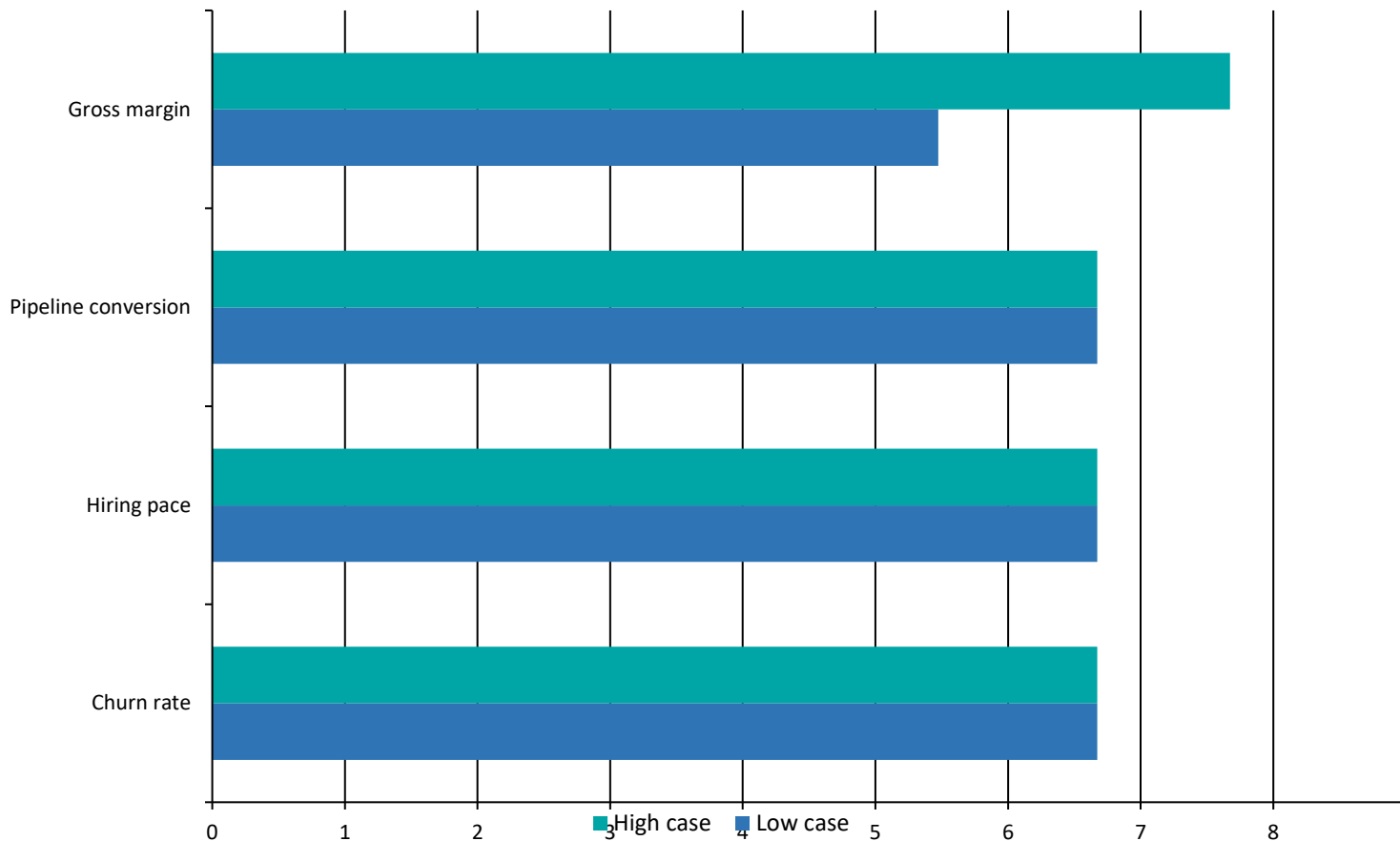
Upside | \$55.9M

Lower churn, faster cycles, 0.70x pipeline realization.

Downside | \$48.2M

Higher churn, slower cycles, 0.38x pipeline realization.

Base runway is 12.3 months; hiring pace is the controllable lever



Ending cash | \$6.7M

Base case retains limited cushion.

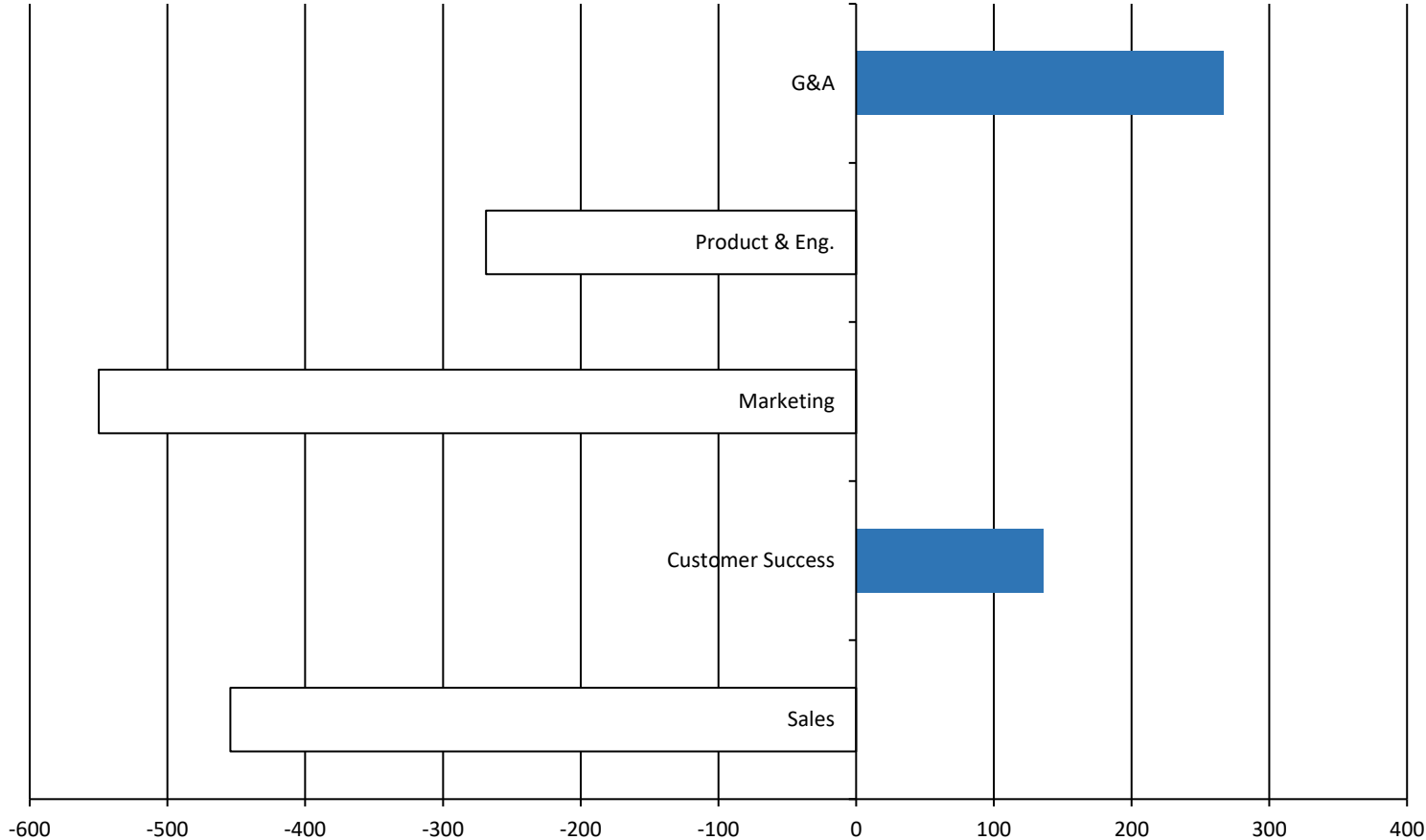
Downside trigger

Move to 0.82x hiring if conversion and churn both miss.

Circularity control

Interest uses beginning cash; no iterative calculation is required.

Marketing and Sales account for the FY opex overrun



Marketing | +\$550K

Events and demand generation exceeded plan.

Sales | +\$454K

Hiring and commissions ran ahead of conversion.

Offsets | -\$402K

Customer Success and G&A discipline reduced the net overrun.

Protect the growth option without pre-funding unproven capacity

- 1 Gate GTM hiring** Require two months of conversion and cycle improvement before releasing roles.
- 2 Reallocate \$300K** Shift low-attribution event spend toward partner and expansion programs.
- 3 Operationalize downside triggers** Review churn, conversion, DSO, and ending cash monthly; move to 0.82x hiring when two miss.

BOARD ASK

Approve the Base case with a conditional GTM hiring gate and monthly downside trigger review.